



All figures in Rs crore denote export revenues of Tirupur; *Estimate

GOES BUST

months have wreaked havoc on the 2,500 small and medium exporters of Tirupur who stopped taking fresh orders in August-September. With foreign inflows pouring in relentlessly and the rupee showing no signs of weakening in the near future, they are finding it difficult to predict what the exchange rate would be at the time of delivery. For instance, if an exporter sold a T-shirt for \$100 in January 2007, his rupee realisation worked out to Rs 4,400, now the same T-shirt

fetches him a little under Rs 4,000.

As a result, almost 600 small units in this town have already shut down, with buyers migrating to countries like Bangladesh, Sri Lanka, Vietnam and China. Instead of a growth in revenues, Tirupur will lose out on revenues of Rs 2,000 crore due to slackening of orders. Confesses A. Sakthivel, president of Tirupur Exporters' Association (TEA): "The industry has been facing a problem for the past eight months. Initially, we had to execute orders taken in March, even though the rupee had strengthened significantly. But for the past four months, exporters have not been taking fresh orders as the rupee has been continuously appreciating and pricing has gone haywire."

Tirupur, an obscure town, 50 km from Coimbatore, has come a long way

of its success lies in the cluster approach that the entrepreneurs have taken. From knitting, dyeing, bleaching, printing and embroidery to garmenting, everything is done in this little town. Says Raja Shanmugam, partner, Warsaw International: "The entrepreneurial spirit of the people has put this cluster on the global map today. Spread over 100 acres, the Tirupur Export Knitwear Industrial Complex is the first industrial complex to be promoted by private enterprise."

But today the very existence of Tirupur is under threat as the policy-makers are immune to the problems faced by this vibrant town that provides jobs to 3.5 lakh skilled workers, who come from surrounding rural areas. The government has given relief only in the form of duty drawback and lower

WHAT EXPORTERS WANT

Exemption from service tax, FBT
That the government bear hedging cost or forward premium for at least a year
Dual exchange rate, with a rate of Rs 41.50 for exporters

WHAT THEY HAVE GOT

Post and pre-shipment loans at 6.5% lower than the basic PLR
Exemption of 10 services from the service tax net
Duty drawback of 10 per cent, up from 7 per cent earlier

interest rates on pre and post shipment loans. While the integrated large players who process the garments from yarn to finish are relatively better off, the pure-play garment makers are suffering as a result of the currency tumult. In the past six months, over 10,000 workers have been rendered jobless and by March 2008, the toll is expected to touch 50,000. "We are all worried as the situation looks grim. The advance tax collections from Tirupur have come down in this period. Non-performing assets will go up significantly if some support is not given to these exporters," says P. Narayana Iyer, chief manager of Canara Bank in Tirupur. Banks have an exposure of Rs 8,000 crore to Tirupur exporters alone.

Typically, the period between September and February is considered to be busy season in this township, as factory units work double shifts and roads are perennially clogged with container traffic. But this year has proved to be different, with most large export units working single shifts and the

from what it was in the mid-'80s. Due to persistent droughts in the area, the agrarian community here decided to get into value-added businesses which could give a fillip to the cotton growers in the region and also generate jobs for farm labourers during off-season. In 1984, the town got into manufacturing knitted garments for the export market. From a turnover of Rs 10 crore in that year, it is now the country's largest knitwear exporter with a turnover of Rs 11,000 crore in March 2007. The secret



"Rising rupee has put some sectors under stress. We will address this and give them some relief."

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